

2Q26 miss on material cost hikes, elevated depreciation, FX losses; PO to RMB60

Reiterate Rating: BUY | PO: 60.00 CNY | Price: 47.43 CNY

2Q26 net income down 35% YoY/15% QoQ; GPM declined

Tuopu 2Q26 revenue came in at RMB7.6bn, up 6% YoY/14% QoQ, in line with BofAe. Gross margin was 18.4%, down 0.9ppt YoY/0.8ppt QoQ, behind BofAe. 2Q26 OPEX ratio came in at 10.0%, up 0.8ppt YoY/down 0.3ppt QoQ. Tuopu’s 2Q26 net income came in at RMB471mn, down 35% YoY/15% QoQ, a miss vs BofAe due to lower GPM and OPM. Excluding one-off items (mainly government subsidy), its 2Q26 net income came in at RMB434mn, down 36% YoY/8% QoQ, dragged by FX losses (RMB48mn), elevated depreciation due to new capacity, delayed cost pass-through of raw material price increases, mandatory social insurance payments (RMB50mn), pricing cut from automakers and related impairment losses on inventories (RMB40mn).

1H26 segment review; humanoid robot component update

Tuopu’s 1H26 revenue growth was driven by chassis systems (+14% YoY) and interior components (+9% YoY), while automotive electronics, thermal management systems, and shock absorbers recorded low-single-digit growth. Robot actuators remained the fastest-growing segment, with revenue surging 83% YoY to RMB14mn. 1H26 GPM were broadly stable, with modest declines in automotive electronics, thermal management, chassis systems, and robot actuators largely offset by improvements in interior components and shock absorbers. By end-June 2026, Tuopu continued to make progress in robotics business, with linear actuators, rotary actuators, and dexterous hand motors entering the small-batch delivery stage. Meanwhile, it is advancing mass-production capabilities for body structural parts, foot shock absorbers, and electronic skins.

Lower 2026/27/28E EPS by 8%/10%/8%; PO to RMB60

Factoring in 2Q26 results and latest outlook, we cut 2026/27/28E revenue by 3%/5%/7%. Meanwhile, we lower 2026/27E GPM by 0.1ppt/0.1ppt to reflect rising material costs. Net-net, we lower 2026/27/28E earnings by 8%/10%/8%. We cut PO to RMB60 (RMB64 earlier), based on SOTP valuation (details inside). Despite the 2Q26 results miss, we reiterate our Buy on Tuopu for solid earnings growth aided by expanding EV customer base/product lines, and humanoid robots to create a second growth curve (we expect global humanoid robot shipments to post 127% CAGR in 2025-30E).

Estimates (Dec) (CNY)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	3,001	2,779	2,516	3,064	3,804
EPS	1.78	1.60	1.45	1.76	2.19
EPS Change (YoY)	32.2%	-10.2%	-9.5%	21.8%	24.2%
Dividend / Share	0.052	0.049	0.434	0.529	0.657
Free Cash Flow / Share	0.054	0.567	(0.564)	3.02	(0.236)
Valuation (Dec)					
P/E	26.65x	29.66x	32.76x	26.91x	21.67x
Dividend Yield	0.109%	0.103%	0.916%	1.11%	1.38%
EV / EBITDA*	17.02x	16.42x	15.15x	12.78x	10.67x
Free Cash Flow Yield*	0.109%	1.19%	-1.19%	6.38%	-0.497%

* For full definitions of *IQmethod*SM measures, see page 8.

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28 August 2026

Equity

Key Changes		
(CNY)	Previous	Current
Price Obj.	64	60
2026E Rev (m)	33,082	32,242
2027E Rev (m)	37,308	35,528
2028E Rev (m)	42,028	39,112
2026E EPS	1.58	1.45
2027E EPS	1.95	1.76
2028E EPS	2.37	2.19
2026E EBITDA (m)	5,776	5,546
2027E EBITDA (m)	6,931	6,573
2028E EBITDA (m)	8,219	7,873
2026E DPS	0.47	0.43

Joey Yang, CFA >>
Research Analyst
Merrill Lynch (Hong Kong)
+852 3508 4021
joey.z.yang@bofa.com

Ming Hsun Lee, CFA >>
Research Analyst
Merrill Lynch (Hong Kong)

Fiona Liang >>
Research Analyst
Merrill Lynch (Hong Kong)

Jessie Lo >>
Research Analyst
Merrill Lynch (Singapore)

Stock Data

Price	47.43 CNY
Price Objective	60.00 CNY
Date Established	28-Aug-2026
Investment Opinion	C-1-7
52-Week Range	44.00 CNY-86.88 CNY
Mkt Val / Shares Out (mn)	12,265 USD / 1,737.8
Market Value (mn)	82,426 CNY
Average Daily Value (mn)	187.13 USD
Free Float	40.4%
BofA Ticker / Exchange	XNCGF / SHH
Bloomberg / Reuters	601689 CH / 601689.SS
ROE (2026E)	9.9%
Net Dbt to Eqty (Dec-2025A)	-1.9%

GPM: gross profit margin

EV: electric vehicle

FX: foreign exchange

iQprofileSM Ningbo Tuopu (A)

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(CNY Millions)					
Sales	26,600	29,581	32,242	35,528	39,112
Gross Profit	5,534	5,747	6,154	7,013	7,998
Sell General & Admin Expense	(895)	(1,045)	(1,214)	(1,288)	(1,301)
Operating Profit	3,231	3,018	3,090	3,721	4,592
Net Interest & Other Income	190	133	(154)	(108)	(108)
Associates	NA	NA	NA	NA	NA
Pretax Income	3,421	3,152	2,937	3,614	4,484
Tax (expense) / Benefit	(418)	(369)	(416)	(542)	(673)
Net Income (Adjusted)	3,001	2,779	2,516	3,064	3,804
Average Fully Diluted Shares Outstanding	1,686	1,738	1,738	1,738	1,738

Key Cash Flow Statement Data

Net Income	3,001	2,779	2,516	3,064	3,804
Depreciation & Amortization	1,704	2,099	2,456	2,851	3,281
Change in Working Capital	(2,718)	71	(2,414)	2,880	(3,955)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	1,249	(467)	(39)	(40)	(40)
Cash Flow from Operations	3,236	4,482	2,519	8,755	3,090
Capital Expenditure	(3,146)	(3,497)	(3,500)	(3,500)	(3,500)
(Acquisition) / Disposal of Investments	(660)	660	0	0	0
Other Cash Inflow / (Outflow)	78	(178)	0	0	0
Cash Flow from Investing	(3,728)	(3,015)	(3,500)	(3,500)	(3,500)
Shares Issue / (Repurchase)	3,498	0	0	0	0
Cost of Dividends Paid	(789)	(1,016)	(85)	(755)	(919)
Cash Flow from Financing	2,187	(919)	(85)	(755)	(919)
Free Cash Flow	90	985	(981)	5,255	(410)
Net Debt	2,910	(461)	605	(3,895)	(2,566)
Change in Net Debt	(1,963)	(2,898)	1,066	(4,500)	1,329

Key Balance Sheet Data

Property, Plant & Equipment	15,969	16,929	18,357	19,505	20,373
Other Non-Current Assets	2,891	3,561	3,216	2,757	2,147
Trade Receivables	9,085	12,155	9,045	14,316	11,402
Cash & Equivalents	3,988	5,220	4,154	8,654	7,325
Other Current Assets	5,610	6,070	7,357	6,286	8,354
Total Assets	37,544	43,935	42,129	51,518	49,601
Long-Term Debt	3,962	225	225	225	225
Other Non-Current Liabilities	960	932	932	932	932
Short-Term Debt	2,936	4,534	4,534	4,534	4,534
Other Current Liabilities	10,103	14,109	9,873	16,952	12,151
Total Liabilities	17,961	19,800	15,564	22,643	17,842
Total Equity	19,583	24,135	26,566	28,875	31,759
Total Equity & Liabilities	37,544	43,935	42,129	51,518	49,601

iQmethodSM - Bus Performance*

Return On Capital Employed	11.5%	9.3%	8.5%	9.5%	10.8%
Return On Equity	18.0%	12.7%	9.9%	11.1%	12.6%
Operating Margin	12.1%	10.2%	9.6%	10.5%	11.7%
EBITDA Margin	18.6%	17.3%	17.2%	18.5%	20.1%

iQmethodSM - Quality of Earnings*

Cash Realization Ratio	1.1x	1.6x	1.0x	2.9x	0.8x
Asset Replacement Ratio	1.8x	1.7x	1.4x	1.2x	1.1x
Tax Rate (Reported)	12.2%	11.7%	14.2%	15.0%	15.0%
Net Debt-to-Equity Ratio	14.9%	-1.9%	2.3%	-13.5%	-8.1%
Interest Cover	19.5x	27.7x	15.5x	NM	NM

Key Metrics

* For full definitions of iQmethodSM measures, see page 8.

Company Sector

Auto Parts

Company Description

Tuopu Group was founded in 1983 and it is one of the largest auto parts supplier in China today. Tuopu currently owns 9 different product lines: vibration control system, interior and exterior trim system, lightweight body, cabin comfort components, thermal management system, chassis system, air suspension system, intelligent driving system, robotics. By end-2023, Tuopu has set up 5 technology R&D centers, more than 50+ subsidiaries and 70+ manufacturing plants around the world.

Investment Rationale

We have a Buy on Tuopu and we like it for (1) its tier 0.5 one-stop solution model (content value per vehicle to expand to RMB30k from RMB3k) attracting a diversified EV customer matrix, (2) its existing business to provide a solid foundation for growth: vibration control, trimming, lightweight chassis, TMS, (3) new drivers: chassis-by-wire business to enter a harvest period after years of R&D, while robotics/liquid cooling likely create a second growth curve.

Stock Data

Price to Book Value

3.1x



Exhibit 2: 2Q26 results comparison

2Q26 net income was RMB471mn, down 35% YoY/15% QoQ

RMB mn	2Q26 (A)	2Q26 (F)	Diff (%)	YoY	QoQ	1Q26	4Q25	3Q25	2Q25	1Q25
Revenue	7,571	7,740	-2.2%	5.6%	14.2%	6,628	8,653	7,994	7,167	5,768
COGS	6,176	6,285	-1.7%	6.8%	15.4%	5,352	6,925	6,503	5,786	4,620
Gross profit	1,395	1,455	-4.1%	1.0%	9.3%	1,276	1,728	1,490	1,382	1,147
Operating exp	760	740	2.7%	14.9%	10.6%	687	718	704	661	646
Operating income (clean EBIT)	635	715	-11.2%	-11.9%	7.7%	589	1,010	787	720	501
Pretax Income	496	654	-24.1%	-37.2%	-26.9%	679	915	779	790	668
Net Income	470	556	-15.4%	-35.6%	-15.1%	553	813	673	730	566
Net Income attribute to shareholder	471	554	-15.0%	-35.5%	-14.7%	552	813	672	729	565
EPS	0.27	0.32	-15.0%	-35.5%	-14.7%	0.32	0.47	0.39	0.42	0.33
GM	18.4%	18.8%				19.3%	20.0%	18.6%	19.3%	19.9%
Op. margin (clean EBIT)	8.4%	9.2%				8.9%	11.7%	9.8%	10.1%	8.7%
NM	6.2%	7.2%				8.3%	9.4%	8.4%	10.2%	9.8%
OPEX to sales	10.0%	9.6%				10.4%	8.3%	8.8%	9.2%	11.2%

Source: BofA Global Research estimates, company report

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Exhibit 3: New vs old estimates

We cut our 2026/27/28E EPS by 8%/10%/8%

	2026F			2027F			2028F		
RMB mn	Old	New	diff. (%)	Old	New	diff. (%)	Old	New	diff. (%)
Consolidated sales	33,082	32,242	-2.5%	37,308	35,528	-4.8%	42,028	39,112	-6.9%
Vibration Control	4,254	4,254	0.0%	4,252	4,252	0.0%	4,250	4,250	0.0%
Trimming	10,664	10,162	-4.7%	11,757	10,676	-9.2%	12,962	11,216	-13.5%
Chassis	8,804	8,804	0.0%	8,887	8,887	0.0%	8,971	8,971	0.0%
Thermal Management System	2,438	2,372	-2.7%	2,843	2,689	-5.4%	3,315	3,050	-8.0%
Mechatronic	4,070	3,799	-6.7%	5,384	4,839	-10.1%	6,596	5,691	-13.7%
Actuator System	177	177	0.0%	707	707	0.0%	1,413	1,413	0.0%
Others	2,675	2,675	0.0%	3,477	3,477	0.0%	4,520	4,520	0.0%
Gross Profit	6,351	6,154	-3.1%	7,405	7,013	-5.3%	8,591	7,998	-6.9%
Operating Profit	3,320	3,090	-6.9%	4,079	3,721	-8.8%	4,937	4,592	-7.0%
Pretax income	3,264	2,937	-10.0%	4,002	3,614	-9.7%	4,860	4,484	-7.7%
Net Income	2,751	2,521	-8.4%	3,402	3,072	-9.7%	4,131	3,812	-7.7%
Net Income attribute to shareholder	2,743	2,516	-8.3%	3,394	3,064	-9.7%	4,123	3,804	-7.7%
EPS (RMB)	1.58	1.45	-8.3%	1.95	1.76	-9.7%	2.37	2.19	-7.7%
Key ratios (%)									
Sales growth	11.8%	9.0%		12.8%	10.2%		12.7%	10.1%	
EPS growth	-1.3%	-9.5%		23.7%	21.8%		21.5%	24.2%	
Gross margin	19.2%	19.1%		19.8%	19.7%		20.4%	20.5%	
Operating margin	10.0%	9.6%		10.9%	10.5%		11.7%	11.7%	
Net margin	8.3%	7.8%		9.1%	8.6%		9.8%	9.7%	
OPEX to sales	9.2%	9.5%		8.9%	9.3%		8.7%	8.7%	

Source: BofA Global Research estimates, company report

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Exhibit 4: P&L summary (quarterly)

Expect Tuopu's net income to decline by 10% YoY in 2026

(RMB mn)	1Q25	2Q25	3Q25	4Q25	FY'25	1Q26	2Q26	3Q26E	4Q26E	FYE '26
Revenue	5,768	7,167	7,994	8,653	29,581	6,628	7,571	8,633	9,409	32,242
Total cost of goods sold	4,620	5,786	6,503	6,925	23,834	5,352	6,176	6,976	7,584	26,087
Gross profit	1,147	1,382	1,490	1,728	5,747	1,276	1,395	1,658	1,826	6,154
S&M	69	63	69	76	277	64	66	86	94	311
G&A	190	188	206	184	768	208	217	233	245	903
R&D	342	363	380	411	1,496	368	423	423	433	1,647
Operating expenses	646	661	704	718	2,729	687	760	796	822	3,064
Operating income	501	720	787	1,010	3,018	589	635	862	1,004	3,090
Pretax income	668	790	779	915	3,152	679	496	810	952	2,937
Taxes or tax credit	102	60	106	102	369	125	26	121	143	416
Profit before minority	566	730	673	813	2,783	553	470	688	809	2,521
Net income	565	729	672	813	2,779	552	471	686	807	2,516
EPS (RMB)	0.33	0.42	0.39	0.47	1.60	0.32	0.27	0.39	0.46	1.45
Fully diluted shares (mn)	1,738	1,738	1,738	1,738	1,738	1,738	1,738	1,738	1,738	1,738
Operating Ratios										
Gross margins	19.9%	19.3%	18.6%	20.0%	19.4%	19.3%	18.4%	19.2%	19.4%	19.1%
S&M	1.2%	0.9%	0.9%	0.9%	0.9%	1.0%	0.9%	1.0%	1.0%	1.0%
G&A	3.3%	2.6%	2.6%	2.1%	2.6%	3.1%	2.9%	2.7%	2.6%	2.8%
R&D	5.9%	5.1%	4.7%	4.8%	5.1%	5.5%	5.6%	4.9%	4.6%	5.1%
Operating margin	8.7%	10.1%	9.8%	11.7%	10.2%	8.9%	8.4%	10.0%	10.7%	9.6%
Pre-tax margin	11.6%	11.0%	9.7%	10.6%	10.7%	10.2%	6.5%	9.4%	10.1%	9.1%
Tax rate	15.2%	7.6%	13.6%	11.1%	11.7%	18.5%	5.2%	15.0%	15.0%	14.2%
Net margin	9.8%	10.2%	8.4%	9.4%	9.4%	8.3%	6.2%	8.0%	8.6%	7.8%
YoY %										
Net revenues	1.4%	9.7%	12.1%	19.4%	11.2%	14.9%	5.6%	8.0%	8.7%	9.0%
Gross profit	-10.1%	3.6%	0.1%	20.3%	3.9%	11.2%	1.0%	11.2%	5.6%	7.1%
Operating income	-32.8%	-8.2%	-9.9%	22.0%	-6.6%	17.7%	-11.9%	9.5%	-0.6%	2.4%
Net income	-12.4%	-10.0%	-13.7%	6.0%	-7.4%	-2.4%	-35.5%	2.2%	-0.6%	-9.5%
Fully diluted EPS	-15.0%	-12.7%	-16.2%	2.8%	-10.2%	-2.4%	-35.5%	2.2%	-0.6%	-9.5%
QoQ %										
Net revenues	-20.4%	24.3%	11.5%	8.3%		-23.4%	14.2%	14.0%	9.0%	
Gross profit	-20.1%	20.4%	7.9%	16.0%		-26.1%	9.3%	18.8%	10.1%	
Operating income	-39.5%	43.8%	9.2%	28.4%		-41.6%	7.7%	35.7%	16.5%	
Net income	-26.2%	29.0%	-7.9%	21.0%		-32.1%	-14.7%	45.8%	17.6%	
Fully diluted EPS	-28.4%	29.0%	-7.9%	21.0%		-32.1%	-14.7%	45.8%	17.6%	

Source: BofA Global Research estimates, company report

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Our new PO is RMB60 (vs RMB64 earlier), is based on SOTP valuation.

Auto/EV components: we apply 21x P/E (unchanged) to 2H26-1H27E net profit from auto/EV components. Our target PER of 21x is based on the stock's historical 5-year average one-year forward PER.

Humanoid robot components: we apply 50x P/E to its 2030E net profit from humanoid robot components. Our target PER of 50x P/E is supported by (1) global humanoid robot shipments to post 127% CAGR in 2025-30E and 53% CAGR in 2030-35E; (2) other leading Chinese industrial companies, were trading at 50x (0.5-0.6x PEG) in the fast-growing stage. We discount 2030E implied value with 11.4% WACC (unchanged).

Exhibit 5: Tuopu's SOTP valuation

Our price objective is RMB60

(RMBmn)	2H26-1H27E net profit	2030E net profit	2030 implied value	2026 implied value	% to total implied value	Remarks
Auto/EV components	2,730			57,326	54.7%	21 x P/E
Humanoid robot components		1,462	73,080	47,413	45.3%	50 x P/E, 11.4% discount rate
Fair value total (RMBmn)				104,739		
Share count (mn)				1,738		
BofA Price Objective (RMB)				60		

Source: BofA Global Research estimates

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We estimate Tuopu will generate RMB1.5bn net profit in 2030E from the humanoid robot components business, based on the following assumptions for 2030E: (1) 1.2mn units global humanoid robot volume in 2030E; (2) RMB61k content value per robot from actuators; (3) Tuopu's market share in actuators at 20%; and (4) Tuopu's net profit margin (NPM) for the actuator business at 10%, slightly lower than its auto/EV components NPM at 11%, considering actuator is an assembly business.

Exhibit 6: Tuopu's net profit from humanoid robot component business (2030E)

We estimate Tuopu will generate c.RMB1.5bn net profit in 2030 from humanoid robot component business

(RMB mn)	
2030E global humanoid robot volume (unit)	1,200,000
2030E content value per robot - actuator (RMB)	60,900
2030E TAM (RMB mn)	73,080
Market share	20%
2030E revenue (RMB mn)	14,616
Net profit margin	10.0%
2030E earnings (RMB mn)	1,462

Source: BofA Global Research estimates

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Price objective basis & risk

Ningbo Tuopu (XNCGF)

We derive our PO of RMB60 with SOTP valuation to reflect both (1) Tuopu's auto/EV components business, (2) Tuopu's likely profit contribution from humanoid robot components in the future.

Auto/EV components: we apply 21x P/E to 2H26-1H27E net profit from auto/EV components. Our target PER of 21x is based on the stock's historical 5-year average one-year forward PER. We adopt the historical 5-year average, given it captures both the up and downcycle of the auto and auto parts industry. We use its the historical average to reflect soft-term domestic market softness partially offset by overseas market as new growth drivers.

Humanoid robot components: Our target PER of 50x P/E mainly is supported by (1) global humanoid robot shipments to post 127% CAGR in 2025-30E and 53% CAGR in 2030-35E, (2) other leading Chinese industrial companies, were trading at 50x (0.5-0.6x PEG) in the fast-growing stage. We discount 2030E implied value with 11.4% WACC.

Risks: raw material cost hikes, EV price cuts, competition, China EV market growth deceleration, inability to maintain a high capacity utilization rate.

Analyst Certification

I, Joey Yang, CFA, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

APR - Autos Coverage Cluster

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	Bethel	XBETF	603596 CH	Joey Yang, CFA
	Bharat Forge	XUUVF	BHFC IN	Gunjan Prithyani
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	DENSO	DNZOF	6902 JP	Shiro Sakamaki
	Desay SV	XGDF	002920 CH	Joey Yang, CFA
	EVE	XEVF	300014 CH	Ming Hsun Lee, CFA
	Fuyao Glass	XFGIF	600660 CH	Jessie Lo
	Fuyao Glass	FIGIF	3606 HK	Jessie Lo
	Geely	GELYF	175 HK	Ming Hsun Lee, CFA
	GS Yuasa	GYUAF	6674 JP	Shiro Sakamaki
	Hankook Tire	XHTRF	161390 KS	KJ Hwang
	Hero Motocorp	HRHDF	HMCL IN	Gunjan Prithyani
	Hesai	HSAL	HSAL US	Jessie Lo
	Hesai	XHGZF	2525 HK	Jessie Lo
	HL Mando	XMADF	204320 KS	KJ Hwang
	Honda Motor	HMC	HMC US	Shiro Sakamaki



APR - Autos Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Honda Motor	HNDAF	7267 JP	Shiro Sakamaki
	Hyundai Motor India	XZHZF	HYUNDAI IN	Gunjan Prithyani
	Isuzu Motors	ISUZF	7202 JP	Shiro Sakamaki
	Joyson	XQMWF	600699 CH	Fiona Liang
	Joyson	XJYSF	699 HK	Fiona Liang
	Kia Corp	KIMTF	000270 KS	KJ Hwang
	Koito Manufacturing	KOTMF	7276 JP	Shiro Sakamaki
	Leapmotor	ZJLMF	9863 HK	Ming Hsun Lee, CFA
	Mahindra & Mahindra (M&M)	XKQRF	MM IN	Gunjan Prithyani
	Minth	MNTHF	425 HK	Fiona Liang
	Momenta	XJAOF	6880 HK	Joey Yang, CFA
	Nexteer	NTXVF	1316 HK	Joey Yang, CFA
	NHK Spring	NHKGF	5991 JP	Shiro Sakamaki
	Ninebot	XNLTF	689009 CH	Joey Yang, CFA
	Ningbo Tuopu	XNCGF	601689 CH	Joey Yang, CFA
	Pony AI	PONY	PONY US	Ming Hsun Lee, CFA
	Pony AI	XNPYF	2026 HK	Ming Hsun Lee, CFA
	RoboSense	RBSTF	2498 HK	Joey Yang, CFA
	Shenzhen Kedali	XWCSF	002850 CH	Jessie Lo
	Shuanghuan Driveline	XZSHF	002472 CH	Fiona Liang
	Sona Comstar	XBNXF	SONACOMS IN	Gunjan Prithyani
	Stanley Electric	STAEF	6923 JP	Shiro Sakamaki
	Sumitomo Rubber Industries	SMTUF	5110 JP	Shiro Sakamaki
	Suzuki Motor	SZKMF	7269 JP	Shiro Sakamaki
	Tata Motors CV	XTMCF	TMCV IN	Gunjan Prithyani
	Toyota Motor	TOYOF	7203 JP	Shiro Sakamaki
	Toyota Motor	TM	TM US	Shiro Sakamaki
	WeRide	WRD	WRD US	Ming Hsun Lee, CFA
	WeRide	WRDIF	800 HK	Ming Hsun Lee, CFA
	Wuxi Lead	XZSRF	300450 CH	Yikai Liu, CFA
	Wuxi Lead	XLDFD	470 HK	Yikai Liu, CFA
	Xingyu Automotive Lighting	XLIXF	601799 CH	Joey Yang, CFA
	XPeng Inc	XPEV	XPEV US	Ming Hsun Lee, CFA
	XPeng Inc.	XPNGF	9868 HK	Ming Hsun Lee, CFA
	Yadea	YADGF	1585 HK	Joey Yang, CFA

NEUTRAL

	Aisin Corporation	ASEKF	7259 JP	Shiro Sakamaki
	Bridgestone	BRDCF	5108 JP	Shiro Sakamaki
	Bridgestone	BRDCY	BRDCY US	Shiro Sakamaki
	Eicher Motors	XEIMF	EIM IN	Gunjan Prithyani
	Escorts Kubota	XSCOF	ESCORTS IN	Gunjan Prithyani
	Great Wall Motor	GWLLF	2333 HK	Ming Hsun Lee, CFA
	Hyundai Mobis	HYPLF	012330 KS	KJ Hwang
	Hyundai Motor	HYMLF	005380 KS	KJ Hwang
	Li Auto	LI	LI US	Ming Hsun Lee, CFA
	Li Auto	LAAOF	2015 HK	Ming Hsun Lee, CFA
	Maruti	MUDGF	MSIL IN	Gunjan Prithyani
	Mazda Motor	MZDAF	7261 JP	Shiro Sakamaki
	NIO	NIO	NIO US	Ming Hsun Lee, CFA
	NIO	NIOIF	9866 HK	Ming Hsun Lee, CFA
	NIO	XLTWF	NIO SP	Ming Hsun Lee, CFA
	SAMIL (Motherison International)	XMSUF	MOTHERSO IN	Gunjan Prithyani
	Subaru Corp	FUJHF	7270 JP	Shiro Sakamaki
	Subaru Corp	FUJHY	FUJHY US	Shiro Sakamaki
	Toyo Tire	TOTTF	5105 JP	Shiro Sakamaki
	Toyoda Gosei	TGOSF	7282 JP	Shiro Sakamaki
	TVS Motors	XFKMF	TVSL IN	Gunjan Prithyani
	VOYAH	XRITF	7489 HK	Ming Hsun Lee, CFA
	Yokohama Rubber	YORUF	5101 JP	Shiro Sakamaki
	Yutong Bus	ZHYUF	600066 CH	Fiona Liang

UNDERPERFORM

	Aima Technology	XIHBF	603529 CH	Joey Yang, CFA
	BAIC Motor	BMCLF	1958 HK	Ming Hsun Lee, CFA
	Ehang	EH	EH US	Fiona Liang



APR - Autos Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	GAC	XGNHF	601238 CH	Ming Hsun Lee, CFA
	Great Wall Motor	XGWMF	601633 CH	Ming Hsun Lee, CFA
	Guangzhou Automobile Group	GNZUF	2238 HK	Ming Hsun Lee, CFA
	Huayu	XHASF	600741 CH	Fiona Liang
	Hyundai Wia	XWHYF	011210 KS	KJ Hwang
	Jardine Cycle & Carriage	JCYCF	JCNC SP	Jessie Lo
	Mitsubishi Motors	MMTOF	7211 JP	Shiro Sakamaki
	Motherson Sumi Wiring	XMWDF	MSUMI IN	Gunjan Prithyani
	Nextage	NXAGF	3186 JP	Shiro Sakamaki
	Nissan Motor	NSANF	7201 JP	Shiro Sakamaki
	Nissan Motor	NSANY	NSANY US	Shiro Sakamaki
	Ola Electric Mobility Limited	XOLAF	OLAELE IN	Gunjan Prithyani
	SAIC Motor	XZNFJ	600104 CH	Ming Hsun Lee, CFA
	Seres	XSRSF	601127 CH	Joey Yang, CFA
	Seres	XSGLF	9927 HK	Joey Yang, CFA
	Tata Motors Passenger Vehicles Limited	XTTSF	TMPV IN	Gunjan Prithyani
	Toyota Boshoku	TDBOF	3116 JP	Shiro Sakamaki
	Yongda	CYYHF	3669 HK	Joey Yang, CFA
	Zhejiang Sanhua	XZSIF	002050 CH	Jessie Lo
	Zhejiang Sanhua	ZSINF	2050 HK	Jessie Lo
	Zhongsheng Auto	ZHSHF	881 HK	Joey Yang, CFA

iQmethodSM Measures Definitions

Business Performance

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization

Shareholders' Equity

Sales

N/A

N/A

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

EV / EBITDA

Basic EBIT + Depreciation + Amortization

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Tuopu (XNCGF) Price Chart



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Equity Investment Rating Distribution: Autos Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	75	56.39%	Buy	41	54.67%
Hold	28	21.05%	Hold	18	64.29%
Sell	30	22.56%	Sell	17	56.67%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2}Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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